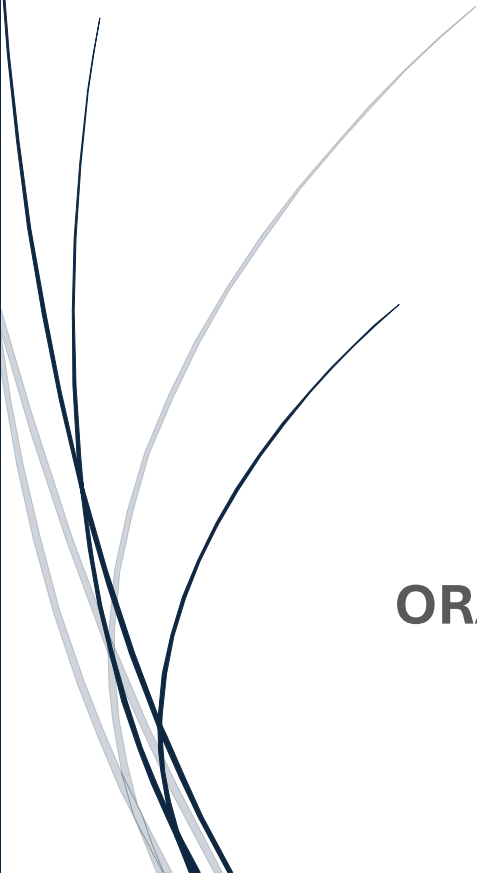




9/7/2025

Chargeback Transaction

Oracle Fusion



Khaled Ahmed

ORACLE FINANCIAL CONSULTANT

What is a Chargeback in Receivables (AR)?

A **Chargeback** happens when:

- You, as the company, **close (settle) the original invoice** – meaning you don't expect to collect it *as is*.
- But at the same time, you create a **new receivable (a new invoice/transaction)** for the same customer, usually for the portion they are disputing or refusing to pay.

It's a way to **move the disputed amount from the old invoice to a new one** (cleaner tracking).

Postponement of the old Due Date to the new one.

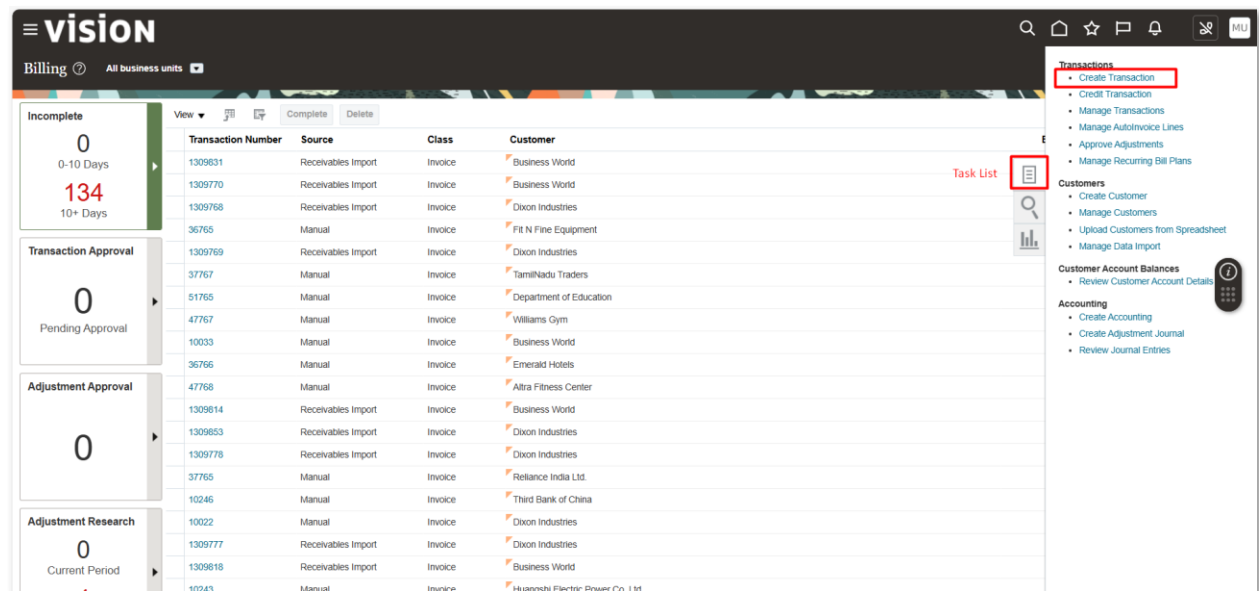
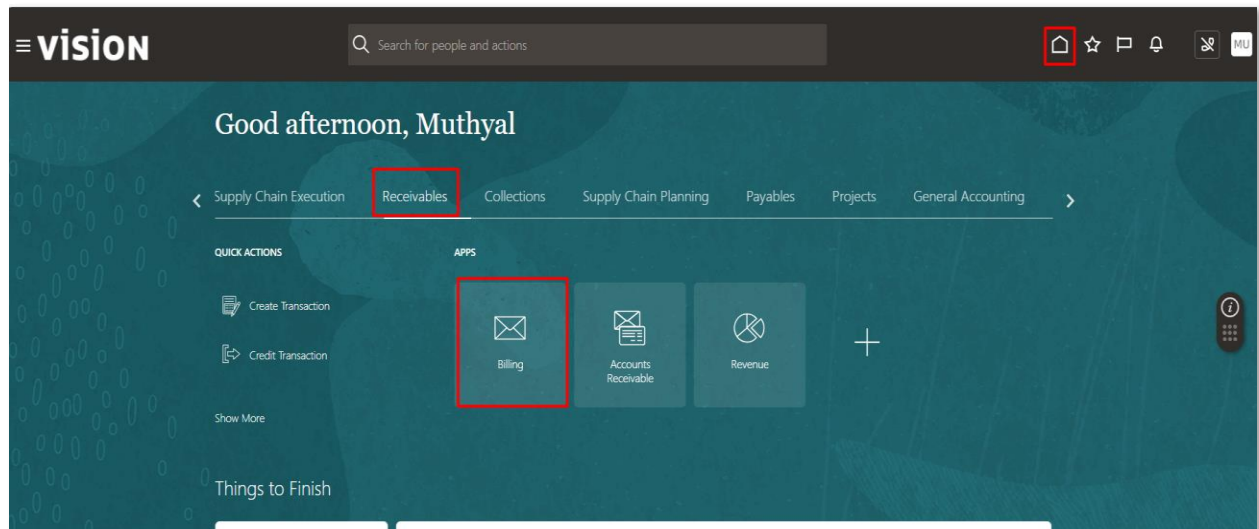
Why do we use it?

1. To keep the AR aging accurate:
 - Old invoice shows as “closed/settled.”
 - The new invoice (chargeback) carries open balance.
2. To handle disputes transparently:
 - The disputed amount gets its own document for easier collection/follow-up.
3. To track responsibility:
 - Collections team can chase the new chargeback instead of leaving the original invoice looking overdue.

Create Standard Invoice

Go to Receivables < Billing

From Task List < Create Transactions



Enter the required information related to the AR Invoice:

(BU – Customer – Line info- Amount- Price)

vision
Edit Transaction: Invoice 47768

Actions: Save, Complete and Create Another, Delete, Cancel

General Information | Show More

Business Unit: Supremo US Business Unit
Transaction Source: Manual
Transaction Type: Invoice
Transaction Number: 47768
Document Number:
Status: Incomplete

* Transaction Date: 6/11/25
* Accounting Date: 6/11/25
Salesperson:
Invoicing Rule:
Attachments: None
Notes:

* Currency: USD US Dollar
Transaction Total: 113,505.00
Lines: 105,000.00
Tax: 8,505.00
Freight: 0.00
Charges: 0.00

Customer

* Bill-to Name: Altra Fitness Center
* Bill-to Site: LAS VEGAS
Ship-to Name: Altra Fitness Center
Ship-to Site: 901984

Payment

* Payment Terms: 30 Net
Due Date: 7/11/25

Invoice Details

Invoice Lines | Sales Credits

View: +, -, Detach, Edit Freight, Apply Prepayments

Line Information | Tax Determinants | Revenue Scheduling

Line	Item	Description	Memo Line	UOM	Quantity	Unit Price	Amount	Details	Tax Classification	Transaction Business Category	Intended Use
1		Class Fee	Class Fee	Ea	3,000	35	105,000.00			Sales Transaction	
Total					3,000		105,000.00				

Click Complete and Review

vision
Edit Transaction: Invoice 47768

Actions: Save, Complete and Create Another, Delete, Cancel

General Information | Show More

Business Unit: Supremo US Business Unit
Transaction Source: Manual
Transaction Type: Invoice
Transaction Number: 47768
Document Number:
Status: Incomplete

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Invoice Details

Invoice Lines | Sales Credits

View: +, -, Detach, Edit Freight, Apply Prepayments

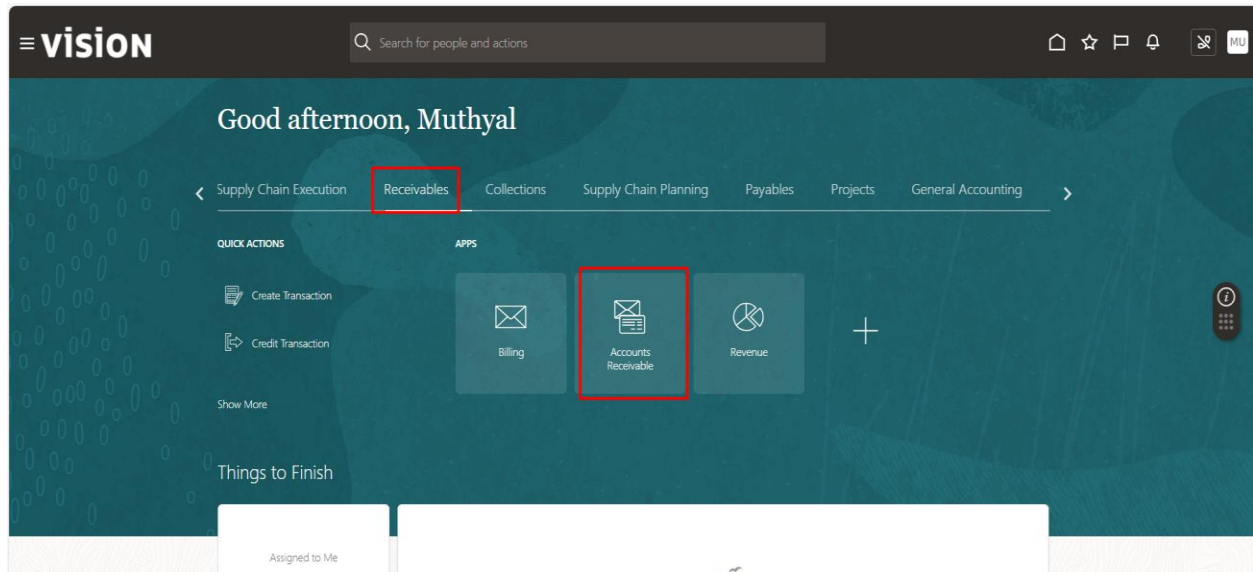
Line Information | Tax Determinants | Revenue Scheduling

Line	Item	Description	Memo Line	UOM	Quantity	Unit Price	Amount	Details	Tax Classification	Transaction Business Category	Intended Use
1		Class Fee	Class Fee	Ea	3,000	35	105,000.00			Sales Transaction	
Total					3,000		105,000.00				

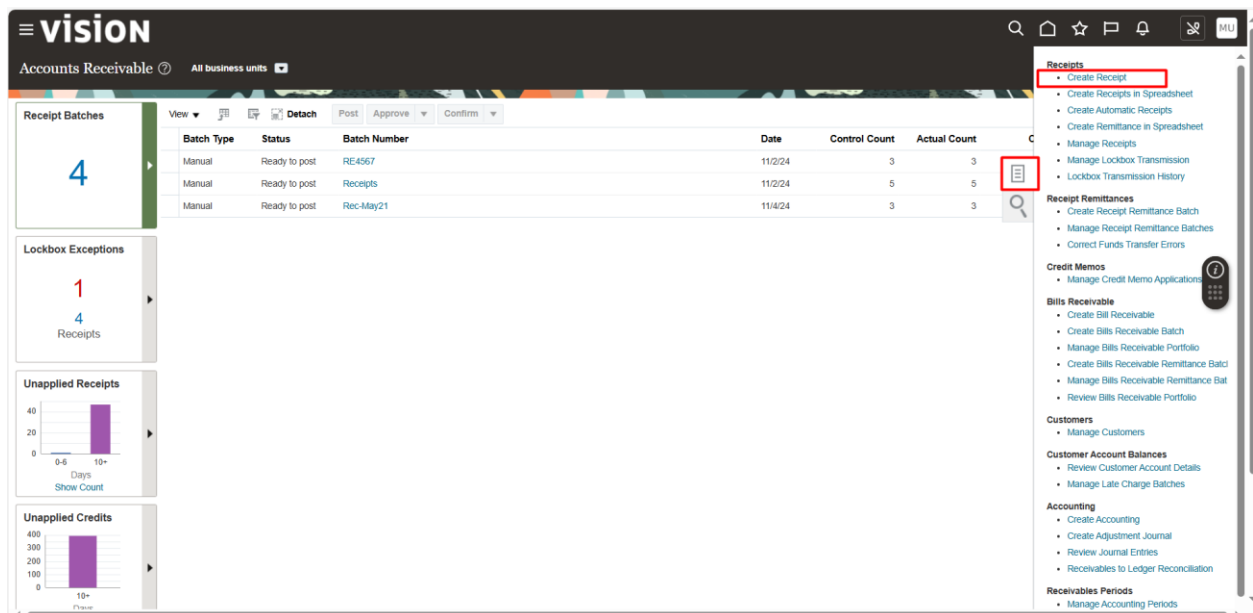
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Creating Receipt

Go to **Account Receivables** work area



From Task List < Create Receipt



Query or enter the receipt.

Choose Applications.

Select or enter the Transaction to which you want to apply this receipt

Note: Enter Receipt with Due date of the AR Invoice

Receipt Amount = 100000 USD

Due Amount = 13505 USD

vision
Create Receipt ?

Submit and Create Another Cancel

Receipt Type: Standard
Status: New
Business Unit: Supremo US Business Unit
Receipt Method: Cash/Check Deposit
Receipt Number: CHB-001

Currency: USD US Dollar
Entered Amount: 100,000.00
Accounted Amount: 100,000.00
Tax Rate Code:
Receivables Specialist:
Comments:
Receipt Date: 7/11/25
Accounting Date: 9/7/25
Maturity Date: 7/11/25
Postmark Date: m/d/yyyy
Attachments: None
Structured Payment Reference:
Remittance Bank: Bank of America, Denver
Customer: Altra Fitness Center, LAS VEGAS
Additional Information:
Remittance Reference Detail:
View Add Open Receivables Detach

Click “Submit and Apply Manually”

vision
Create Receipt ?

Submit and Create Another Cancel

Submit
Submit and Apply Manually
Submit and AutoApply Now

Receipt Type: Standard
Status: New
Business Unit: Supremo US Business Unit
Receipt Method: Cash/Check Deposit
Receipt Number: CHB-001

Currency: USD US Dollar
Entered Amount: 100,000.00
Accounted Amount: 100,000.00
Tax Rate Code:
Receivables Specialist:
Comments:
Receipt Date: 7/11/25
Accounting Date: 9/7/25
Maturity Date: 7/11/25
Postmark Date: m/d/yyyy
Attachments: None
Structured Payment Reference:
Remittance Bank: Bank of America, Denver
Customer: Altra Fitness Center, LAS VEGAS
Additional Information:
Remittance Reference Detail:
View Add Open Receivables Detach

Click “Add open Receivables”

The screenshot shows the 'vision' system interface for editing receipt CHB-001. The form is divided into several sections: Receipt Information, Additional Information, and Receipt Details. The Receipt Information section includes fields for Status (Remitted), Business Unit (Supremo US Business Unit), Receipt Type (Standard), Receipt Method (Cash/Check Deposit), Receipt Number (CHB-001), Receivables Specialist, Attachments, Customer Account Number (24105), Customer Name (Altra Fitness Center), Customer Site (LAS VEGAS), Receipt Date (7/11/25), Accounting Date (9/7/25), and Comments. The Receipt Details section shows a total of 100,000.00 USD. The 'Add Open Receivables' button is highlighted with a red box and an arrow.

Enter the Criteria for your search for the invoice you want to apply it

Click “Search”

Select the Invoice & Add & Done

The screenshot shows the 'Add Open Receivables' search form. The search criteria section is highlighted with a red box. It includes fields for Receipt Match By (Transaction Number), Receipt Reference Number, Transaction Business Unit (Supremo US Business Unit), Transaction Type, Transaction Customer Name (Altra Fitness Center), Transaction Customer Account Number (24105), Currency, Amount, and From Transaction Due Date (m/d/y). The 'Search' button is highlighted with a red box and an arrow. Below the search criteria, there is a table of results with columns: Receipt Reference Number, Transaction Class, Transaction Number, Due Date, Payment Terms, Customer Name, Customer Account Number, Amount Due, and Transaction Business Unit. The first row of the table is highlighted with a red box.

Receipt Reference Number	Transaction Class	Transaction Number	Due Date	Payment Terms	Customer Name	Customer Account Number	Amount Due	Transaction Business Unit
47768	Invoice	47768	7/11/25	30 Net	Altra Fitness Center	24105	113,505.00 USD	Supremo US Bu

Create Chargeback

Click “Save”, First

From “**Action**” Button

Click on “**Create Chargeback**”

We will create the Chargeback with the “Amount Due” = 13505 USD

Edit Receipt: CHB-001

Actions Save Save and Close Cancel

Receipt Information Show More

Status Remitted

Business Unit Supremo US Business Unit

Receipt Type Standard

Receipt Method Cash/Check Deposit

Receipt Number CHB-001

Customer Account Number 24105

Customer Name Altra Fitness Center

Customer Site LAS VEGAS

Receipt Date 7/11/25

Accounting Date 9/7/25

Comments

Currency USD US Dollar

Entered Amount 100,000.00

Accounted Amount 100,000.00

Total Applied Amount 100,000.00

On-Account Amount 0.00

Unapplied Amount 0.00

Exchange Gain or Loss 0.00

Add Application

Add Open Receivables

Adjust

Create Chargeback

Create Channel Revenue Claim

View Application Activities

View Remittance Reference Detail

View Exception Trends

Unapply Application

More

Actions View Detach Add Application Unapply Application Add Open Receivables View Remittance Reference Detail View Exception Trends

Application Type	* Application Reference	Amount Due	* Applied Amount	Discount	Exception Reason	* Application Date	* Accounting Date
Transaction	47768	13,505.00 USD	100,000.00	0.00		9/7/25	9/7/25

Transaction 47768: Details

Days Late 58

Transaction Type Invoice

Amount Applied Base 100,000.00

Installment 1

Document Number

You will enter a new “Due Date” For the chargeback.

- Enter the transaction Type and the Amount of this chargeback. The default chargeback amount is the remaining amount of the transaction. Receivables displays the new remaining amount in the Balance Due field. You can enter an amount greater than the balance due only if the [Allow Overapplication](#) option for this transaction type is Yes.
- If document numbering is enabled and the document sequence associated with this receipt is Manual, enter a Document Number for this chargeback. If the sequence type is Automatic, Receivables assigns a document number when you save.
- Enter the Account for this chargeback. The transaction type provides the default account, but you can change it.
- Enter the Due Date for this chargeback. The default due date is the value of the Chargeback Due Date parameter in the System Options window. For example: Current Date, Deposit Date, Open Invoice Due Date, or Receipt Date.

Save and Close

Customer Account Number 24105

Create Chargeback: 47768

Transaction

Activity Class	Invoice	Transaction Date	6/11/25
Type	Invoice	Amount	113,505.00
Installment	1	Discount	0.00
Business Unit	Supremo US Business Unit	Balance Due	13,505.00
Days Late	58		

Chargeback

* Type	Chargeback	Due Date	7/28/25
* Amount	13,505.00	Reason	
* Distribution	120.10.12101.000.000.000	Comments	

Save and Close **Cancel**

Amount Due * Applied Amount Discount Exception Reason * A

13,505.00 USD	100,000.00	0.00	9/7/
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Go to Receivables < Billing

Go to your Original Invoice

From “Actions” < “Manage Adjustment”

vision
Review Transaction: Invoice 47768

General Information | Show More

Business Unit: Supremo US Business Unit
Transaction Source: Manual
Transaction Type: Invoice
Transaction Number: 47768
Document Number: [blank]
Status: Complete

Transaction Date: 6/11/25
Accounting Date: 6/11/25
Salesperson: [blank]
Invoicing Rule: [blank]
Attachments: None
Notes: [blank]

Customer: [blank]
Bill-to Name: Altra Fitness Center
Bill-to Site: LAS VEGAS
Ship-to Name: Altra Fitness Center
Ship-to Site: 901984

Payment: [blank]

Invoice Details
Invoice Lines | Sales Credits

View | Detach

Line Information | Tax Determinants | Revenue Scheduling

Line	Item	Description	Memo Line	UOM	Quantity	Unit Price	Amount	Details	Tax Classification	Transaction Business Category	Intended Use
1		Class Fee	Class Fee	Ea	3,000	35	105,000.00			Sales Transaction	
					Total	3,000	105,000.00				

- You will see that you have made an “Adjustment” to this invoice by the Amount of Chargeback
- The Receivables Activity = Chargeback Adjustment
- You will see a new invoice num of this **Chargeback Adjustment**

Manage Adjustments: Invoice 47768

Actions | View | Submit | Withdraw

Number	Receivables Activity	Adjustment Type	Adjustment Amount (USD)	Includes Tax	Installment Number	Adjustment Status	Adjustment Date	Accounting Date
10144	Chargeback Adjustment	Invoice Adjustm...	-13,505.00	Yes	1	Approved	9/7/25	9/7/25

10144: Details

Transaction Distribution: 120.10.12350.000.000.000

Account Description: Supremo Fitness. LOB 1 US1 AR/AP Clearing Balance Sheet. None None

Document Number: [blank]

Chargeback Number: 102001

Adjustment Reason: [blank]
Comments: [blank]
Regional Information: [blank]

Action History

Action Date	Action	Created By	Comments
No data to display			

From “Actions” < “Review Installments”

vision

Review Transaction: Invoice 47768

Actions View Image Save Incomplete Cancel

General Information | Show More

Business Unit: Supreme US Business Unit
Transaction Source: Manual
Transaction Type: Invoice
Transaction Number: 47768
Document Number: [blank]
Status: Complete

Transaction Date: 6/11/25
Accounting Date: 6/11/25
Salesperson: [blank]
Invoicing Rule: [blank]
Attachments: None
Notes: [blank]

Customer: [blank]
Bill-to Name: Altra Fitness Center
Bill-to Site: LAS VEGAS
Ship-to Name: Altra Fitness Center
Ship-to Site: 901984

Payment: [blank]

Invoice Details
Invoice Lines Sales Credits

View Detach

* Payment Terms: 30 Net
Due Date: 7/11/25

USD US Dollar
113,505.00
105,000.00
8,505.00
0.00
0.00

The Status of the Invoice is “**Closed**”

Because it’s fully applied

Review Installments

Actions View + X

Sequence	Days Late	* Due Date	Due Days	* Original Amount	Balance Due	Status	Dispute Amount	Dispute Date	Notes
1	58	7/11/25	-58	113,505.00	0.00	Closed			
Total				113,505.00	0.00				
Columns Hidden 6									
Cumulative Balance 0.00 USD									
Comments									
Save and Close Cancel									

Revenue Scheduling

From “Actions” < “View Balance Details”

You will see:

- **Original Amount of the Invoice**
- **Receipt Amount you have applied.**
- **The Adjustment we have created to this invoice “Chargeback”**

mo US Business

Transaction Date 6/11/25

Cur

Transaction

Balance Details: Invoice 47768

View By Entered Currency (USD)

Balance Details	Lines	Tax	Freight	Charges	Total
Original Amount	105,000.00	8,505.00	0.00	0.00	113,505.00
Prepayments	0.00	0.00	0.00	0.00	0.00
Receipts	-92,506.94	-7,493.06	0.00	0.00	-100,000.00
Credits/Refunds	0.00	0.00	0.00	0.00	0.00
Adjustments	-12,493.06	-1,011.94	0.00	0.00	-13,505.00
Bills Receivable	0.00	0.00	0.00	0.00	0.00
Discounts	0.00	0.00	0.00	0.00	0.00
Balance	0.00	0.00	0.00	0.00	0.00

Done

Line Information

Memo Line	UOM	Quantity	Unit Price	Amount	Details	Tax Classification	Transaction
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Payment

* Payment 1

Due

Search for Chargeback Transaction

You will see the Original Transaction Number

Transaction Source & Type = Chargeback

Search

Business Unit: Transaction Source: Transaction Class: Transaction Type:

** Transaction Number: Transaction Date: Bill-to Customer:

Transaction Number Operator:

Search Reset

Transaction Number	Transaction Source	Transaction Class	Transaction Type	Complete	Bill-to Customer	Entered Amount	Transaction Date	Business Unit	Original Transaction Number
102001	Chargeback	Chargeback	Chargeback	Yes	Altra Fitness Center	13,505.00 USD	9/7/25	Supremo US Bu...	47768
1020018	Receivables Im...	Invoice	Invoice	Yes	ABC Corporation World...	4,035.00 GBP	2/2/12	UK Business Unit	
1020019	Receivables Im...	Invoice	Invoice	Yes	ABC Application Software	10,153.00 GBP	2/7/12	UK Business Unit	

View Accounting

AP / AR Clearing Account is credited so total balance of it = zero

Review Transaction: Chargeback 102001

Business Unit: Supremo US Business Unit Transaction Date: 9/7/25 Accounting Date: 9/7/25 Currency: USD - US Dollar

Transaction Source: Chargeback Transaction Type: Chargeback Chargeback Reason:

Reference: Document Number: Status: Complete Original Transaction Number: 47768

Customer Bill-to: Name: Altra Fitness Center Account Number: 24105 Site: LAS VEGAS Address: 8976 Paradise Road Contact: Fred Wright

Payment: Payment Terms: Immediate Due Date: 7/29/25

Miscellaneous: ☐ Exempt from late charges

Accounting Lines: Chargeback 102001

Ledger: US Primary Ledger Date: 9/7/25 Status: Draft

Line	Event	Account	Class	Accounted (USD)
1	Chargeback Creat...	120.10.12101.000.000.000	Receivable	13,505.00
2	Chargeback Creat...	120.10.12350.000.000.000	Revenue	13,505.00

Account: 12350 AR/AP Clearing

	Payment Term Due Date	
11/6/2025	30 days	11/7/2025
	New Due Date	
	28/7/2025	

			Chargeback Accounting	
1-	Standard Invoice			
		Dr/ 113505	Receivables	
			Cr/105000	Revenue
			Cr/8505	Tax
2-	Receipt	Dr/ 100000	Bank/ Cash	
			Cr/100000	Receivables
3-	Apply with CB (Close Old Due Date)	Dr/13505	Chargeback	
			Cr/13505	Receivables
4-	Chargeback Transaction with new Due Date	Dr/13505	Receivables	
			Cr/13505	Chargeback